

SchoolStack Budget

Lender-Ready Financial Packet

Liberty STEM Charter School

5-Year Financial Model
Prepared March 25, 2026

Lender Readiness: Needs Work

Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

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This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Executive Summary

Liberty STEM Charter School projects \$11,955,646 in Year 5 revenue with a 80.1% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story.

- [] Lender Readiness: Needs Work
- [] Biggest Strength: Strong Year 5 net income
- [] Biggest Risk: Public funding is the primary revenue source — model disbursement timing carefully and maintain cash reserves for funding gaps
- [] Cash Runway: 60+ months

School Overview

Liberty STEM Charter School is a Startup / Pre-Opening Charter School organized as a 501(c)(3) Nonprofit with a funding profile.

Supporting Assumptions

School Stage **Startup / Pre-Opening**
School Type **Charter School**
Funding Profile
Entity Type **501(c)(3) Nonprofit**
State **AZ**
Opening Year —

Enrollment Plan

Enrollment starts at 200 students in Year 1 and grows to 600 by Year 5 (200% growth).

Enrollment by Year

Year	Students
Year 1	200
Year 2	300
Year 3	400
Year 4	500
Year 5	600

Supporting Assumptions

Year 1 Enrollment **200**
Year 2 Enrollment **300**
Year 3 Enrollment **400**
Year 4 Enrollment **500**
Year 5 Enrollment **600**

Revenue Model

The revenue model is primarily publicly funded (92.2% of Year 1 revenue). Year 1 total revenue is projected at

\$4.0M, growing to \$12.0M by Year 5.

- [] Tuition %: 1.5%
- [] Public Funding %: 92.2%
- [] Philanthropy %: 6.3%

Revenue by Year

Year	Total Revenue
Year 1	\$4.0M
Year 2	\$5.8M
Year 3	\$7.7M
Year 4	\$9.8M
Year 5	\$12.0M

Supporting Assumptions

State Per-Pupil Funding (K-5) **\$1.6M**
State Per-Pupil Funding (6-8) **\$1.8M**
Title I Federal Funding **\$240K**
Charter Startup Grant (CSPP) **\$250K**
After-School & Summer Programs **\$60K**

Staffing Plan

Staffing costs are \$551K in Year 1, representing 13.9% of revenue. This leaves healthy room for other operating costs.

[+] Staffing % of Revenue: 13.9%

Supporting Assumptions

Executive Director **\$110,000, 1 FTE**
Principal **\$90,000, 1 FTE**
Dean of Students **\$75,000, 1 FTE**
STEM Teachers **\$55,000, 1 FTE**
General Teachers **\$48,000, 1 FTE**
Special Education Staff **\$52,000, 1 FTE**
Office & Finance Staff **\$45,000, 1 FTE**
Custodial / Maintenance **\$35,000, 1 FTE**

Expense Summary

Total expenses grow from \$1.5M in Year 1 to \$2.2M by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	\$551K	\$928K	\$69K	\$1.5M
Year 2	\$661K	\$780K	\$69K	\$1.5M
Year 3	\$661K	\$1.0M	\$69K	\$1.7M
Year 4	\$661K	\$1.2M	\$69K	\$2.0M
Year 5	\$661K	\$1.5M	\$69K	\$2.2M

Capital & Debt

The model includes 2 debt instruments totaling \$575K.

Supporting Assumptions

Facility Expansion Loan **\$500K at 6.5% for 15 years**

Equipment Financing **\$75K at 5.5% for 5 years**

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at \$9.7M (81.5% margin).

- [+] Revenue per Student (Year 1): \$19,750 (benchmark: Charter avg: \$10,000–\$15,000)
- [+] Staffing Cost (% of Revenue): 13.9% (benchmark: Industry avg: 50–65% of revenue)
- [+] Operating Cost (% of Revenue): 28.6% (benchmark: Target: under 30% of revenue)
- [+] Net margin (Year 1): 57.5% (benchmark: Startup target: 0–5%; mature: 10%+)
- [+] Net margin (Year 5): 80.1% (benchmark: Target: 10–15%+)
- [+] 5-Year Revenue Growth: 202.7% (benchmark: Healthy schools: 30–80% over 5 years)
- [+] Capacity Utilization (Year 5): 100.0% (benchmark: Optimal: 80–95% utilization)
- [+] Debt Service Coverage Ratio (Year 1): 6.41x (benchmark: Healthy minimum: 1.25x)

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	200	\$4.0M	\$1.5M	\$2.4M	60.8%
Year 2	300	\$5.8M	\$1.5M	\$4.3M	74.0%
Year 3	400	\$7.7M	\$1.7M	\$5.9M	77.4%
Year 4	500	\$9.8M	\$2.0M	\$7.8M	79.9%
Year 5	600	\$12.0M	\$2.2M	\$9.7M	81.5%

Cash Flow Analysis

Cash stays positive throughout the entire 5-year projection.

[] Cash Runway: 60+ months

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	\$2.3M	16.2 months
Year 2	\$6.4M	45.7 months
Year 3	\$12.2M	76.8 months
Year 4	\$19.8M	112.0 months
Year 5	\$29.4M	148.5 months

Debt Service Coverage

DSCR is above 1.25x, and your operating income comfortably covers debt payments. Current DSCR is 6.41x.
Benchmark: Healthy minimum: 1.25x.

- [+] Debt Service Coverage Ratio (Year 1): 6.41x (benchmark: Healthy minimum: 1.25x)
- [+] Year 1 Reserve Months: 16.2 months (benchmark: Target: 3+ months)
- [+] Year 2 Reserve Months: 45.7 months (benchmark: Target: 3+ months)
- [+] Year 3 Reserve Months: 76.8 months (benchmark: Target: 3+ months)
- [+] Year 4 Reserve Months: 112.0 months (benchmark: Target: 3+ months)
- [+] Year 5 Reserve Months: 148.5 months (benchmark: Target: 3+ months)

DSCR Summary

Current DSCR: **6.41x**
Benchmark: **Healthy minimum: 1.25x**
Trend: **DSCR is above 1.25x, and your operating income comfortably covers debt payments.**

Operating Reserve Analysis

Year	Reserve Months	Status
Year 1	16.2 months	Adequate
Year 2	45.7 months	Adequate
Year 3	76.8 months	Adequate
Year 4	112.0 months	Adequate
Year 5	148.5 months	Adequate

Stress Testing

All 5 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even
Enrollment 20% Below Plan	\$1.6M	\$7.4M	Year 1
Loss of Philanthropy	\$2.0M	\$9.6M	Year 1
Occupancy +15%, Personnel +5%	\$2.2M	\$9.5M	Year 1
Revenue Delayed 3 Months	\$1.3M	\$6.8M	Year 1
Interest Rate +2%	\$2.3M	\$9.6M	Year 1

Lender Readiness

Lender Readiness: Needs Work. Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

[-] Readiness Level: Needs Work

Financial Health Assessment

Across 7 health dimensions: 6 healthy, 1 on watch, 0 at risk.

[+] viability: Healthy
[+] liquidity: Healthy
[+] staffing burden: Healthy
[+] facility burden: Healthy
[+] debt affordability: Healthy
[-] revenue concentration: Watch closely
[+] reserve strength: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 14% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 5% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 6.41x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Watch closely	92% of revenue comes from public funding. This is typical for charter schools, but disbursement timing and policy changes can create cash flow gaps.
Reserve Strength	Healthy	148.5 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Risks

1 risk factor has been identified. None are rated critical, but each should have a documented mitigation plan.

[+] Enrollment growth needs demand evidence: medium

MEDIUM

Enrollment growth needs demand evidence
Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.
Evidence: Year 1: 200 students | Year 2: 300 students | Year 3: 400 students | Year 4: 500 students | Year 5: 600 students | Capacity: 600
Mitigation: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

[+] Enrollment growth needs demand evidence: medium

See Appendix for complete assumption details.

Appendix: Key Assumptions

Complete list of 23 assumptions used in this financial model.

Supporting Assumptions

School Name **Liberty STEM Charter School**
School Type **Charter School**
Entity Type **501(c)(3) Nonprofit**
Funding Profile
State **AZ**
Year 1 Enrollment **200**
Year 2 Enrollment **300**
Year 3 Enrollment **400**
Year 4 Enrollment **500**
Year 5 Enrollment **600**
... and 13 more (see Appendix)

